HARLEY MILLER Law Firm

VIETNAM'S EDUCATION SECTOR AND FOREIGN INVESTMENT ACTIVITIES

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Table of Contents

Introduction 02

Key Investment Opportunities 03

Legal and Regulatory Framework 04

Permissible Forms of Foreign Investment 05

Investment Registration and Licensing Process 06

Basic Legal Requirements 07

Tax Obligations and Incentives 08

Common Challenges for Investors 09

Successful Investment Models in Vietnam 10

Future Outlook and Trends 11

Conclusion

Introduction

Vietnam’s education sector is experiencing rapid growth and is considered one of the fastest-expanding markets in Southeast Asia.

- Market size: Expected to reach USD 22 billion by 2024, with an average annual growth rate of 8–10%.

- Government policies:

    - Promoting educational reforms and encouraging socialization of education.

    - Attracting private and foreign investment to enhance training quality.

The National Education Network Development Plan to 2030 (Vision 2045) emphasizes "internationalization of education," encouraging private sector involvement across all levels.



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Key Investment Opportunities



Early Childhood and K-12 Education

- Establishing international schools and bilingual schools following international curricula (e.g., Cambridge, IB).
- Strong demand in major cities like Ho Chi Minh City, Hanoi, and Da Nang.

Higher Education

- Opening international universities and research institutes.
- Expanding joint degree programs and international transfer pathways.

Vocational and Skills Training

- Setting up centers for digital skills, logistics, soft skills, and language training.

EdTech – Educational Technology

- Developing online learning platforms (LMS), smart education management systems, and AI-driven personalized learning applications

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Legal and Regulatory Framework

Education Law 2019

General regulations on domestic and foreign-involved education.

Amended Higher Education Law 2018

Expands university autonomy, promotes international collaboration.

Investment Law 2020

Regulates foreign investment in education

Decree 86/2018/ND-CP

Details conditions for foreign investment in education

Circular 21/2018/TT-BGDDT

Provides administrative procedures for foreign-invested education

Decree 124/2024/ND-CP (effective 20 Nov 2024)

Updates curriculum, Vietnamese teacher ratio, facility standards

See more at the link Tax Regulations for Foreign Educational Institutions in Vietnam

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Permissible Forms of Foreign Investment

100% Foreign-Owned Institutions: Establishing international preschools, K-12 schools, universities.



Joint Ventures: Co-investment between foreign and Vietnamese partners, sharing equity and management

Business Cooperation Contracts (BCC): Partnership without forming a new legal entity, profit-sharing arrangement.

Educational Franchises: Licensing international educational brands to Vietnamese partners.

See more at the link Legal Framework for Foreign Educational Institutions in Vietnam

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Investment Registration and Licensing Process



Phase 1: Obtain Investment Registration Certificate (IRC) and Enterprise Registration Certificate (ERC)

- Submit application to the provincial Department of Planning and Investment.
- Required documents include project proposal, financial capacity evidence, and business plan.

Phase 2: Obtain Decision on Establishment of Educational Institution

- Submit to the Provincial People's Committee (for preschools and K-12) or Ministry of Education and Training (for universities).
- Evaluation focuses on feasibility, curricula, facilities, and staffing.

Phase 3: Obtain Education Operation License

- After establishment, the institution must obtain an operation license to officially enroll students.

> ***Total estimated time: 6–24 months depending on project scale and dossier completeness.***

Basic Legal Requirements

Criterion	Minimum Requirement
Minimum Capital	VND 30 million per preschooler; VND 50 million per K-12 student; VND 1,000 billion for a university.
Facility Area	6–8 m² per student (K-12); 10–12 m² per student (university).
Curriculum	Must integrate Vietnam's compulsory subjects for Vietnamese students.
Vietnamese Teacher Ratio	At least 50% Vietnamese teachers at K-12 level.
Quality Assurance	Mandatory education quality accreditation after two years of operation.



See more at the link
Investment Potential in Vietnam Education Market: A Guide for Foreign Investors

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Tax Obligations and Incentives



Corporate Income Tax (CIT):

10% preferential rate for institutions classified under education socialization policies.

Value-Added Tax (VAT):

Exempted or preferential 5% VAT rate for education services.



Personal Income Tax (PIT):

Applied under Vietnam's progressive tax rates for foreign lecturers and experts.

Foreign Contractor Tax (FCT):

Applicable for service contracts with foreign entities (e.g., franchising, consultancy).

Common Challenges for Investors



Complicated administrative procedures with multi-layered requirements.

Differences between Vietnamese education standards and international curricula (e.g., adjustments needed for IB, A-Level programs).

Complicated administrative procedures with multi-layered requirements.

Complicated administrative procedures with multi-layered requirements.



Successful Investment Models in Vietnam

INSTITUTION	SUCCESS FACTORS
RMIT Vietnam	100% foreign-owned Australian university since 2000.
British University Vietnam (BUV)	UK-standard international university based in Hanoi.
Fulbright University Vietnam	Non-profit collaboration between the U.S. and Vietnam
International School Ho Chi Minh City (ISHCMC)	One of the first international schools in Ho Chi Minh City.

See more at the link Licensing Procedures for Foreign Educational Institutions in Vietnam

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Future Outlook and Trends

Expanding international education beyond Hanoi and Ho Chi Minh City into secondary provinces.

Booming EdTech applications for digital management and smart education.

Focus on STEM education, digital skills, and training workforce in AI, blockchain, and fintech sectors.

Strengthening international joint programs and student exchange initiatives

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CONCLUSION

Vietnam is emerging as a booming education market with strong demand and increasingly favorable investment conditions for foreign investors.

With a young population, rising income levels, and a growing appetite for international education, Vietnam offers not only a lucrative business opportunity but also a meaningful social impact.

However, success requires investors to be well-prepared in terms of financial capability, operational strategy, and deep understanding of Vietnam's legal environment and educational culture.

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